GE HealthCare (GEHC)

Fundamental analysis & five-year outlook | Prepared for Cam Wilbur | September 4, 2026 | Price $68.80 (9/4/26) | Market cap ~$31.1B | Your position: 30 sh / $2,064 (0.12% of portfolio) | Spun from GE January 2023

The one-paragraph version. GE HealthCare is the opposite setup to almost everything else you own. It is a #1-or-#2 global franchise in medical imaging with a razor-and-blade service annuity, a record $23.9B backlog and record 11.1% organic order growth — and the stock has fallen **23% from its January high and sits 3% above a three-year low**, at roughly **14× forward earnings and 9.8× EV/EBITDA**. The de-rate is not a demand problem; orders are the best since the spin. It is a *margin* problem: $250M of unexpected 2026 input-cost inflation — half of it **memory chips and freight, i.e. the direct cost of the same AI build-out that AVGO, NVDA, TSM and SOXQ are monetising in your book** — hit a long-cycle business that cannot reprice its backlog for 12–18 months. **The crux: management is guiding to a 330bp adjusted-EBIT-margin snap-back in H2 2026 that H1 gives no evidence for, and Q2's "+6.6% EPS growth" was actually flat once you strip tariff refunds and a 17.1% tax rate that guidance says reverts to 20.5%.** But that is a question about 2026, and you are not a 2026 investor. At $68.80 the market is pricing roughly 4.8% revenue growth and a 17% terminal margin to deliver a 10% return — close to what this company already does. **My call: ADD, and treat this as the rare name where the expected return actually clears your hurdle — base case +10.8%/yr, probability-weighted +8.7%/yr, versus roughly –1%/yr for GEV at July's price. But it goes behind the VXUS/AVUV gap in the queue, and I would build it in stages around the October 28 print rather than in one go.**

1. History, business model, and revenue mix

The short history

GE HealthCare was spun out of General Electric on **January 4, 2023** — the first of the three-way GE break-up, ahead of GE Vernova (April 2024) and the GE Aerospace stub. It carries 130 years of the GE medical franchise: the company that commercialised the first CT and MR scanners, and which today holds a top-two global share in imaging alongside Siemens Healthineers and Philips. Peter Arduini has been CEO since 2021, through the spin. The equity story since 2023 has been a slow, unglamorous margin-repair project — dragging a business that was run as a GE division into standalone discipline — and it has been only partly successful: adjusted EBIT margin has moved from roughly 14% to a 2026 target of 15.4–15.7%, which is real progress but nothing like the step-change Vernova promised.

Two things have happened in 2026 that matter more than the quarterly noise. In **March the company closed the $2.3B all-cash acquisition of Intelerad**, a cloud-native imaging-software (PACS) business, funded with cash and new debt — the largest capital-allocation decision since the spin. And in **Q2 management put Patient Care Solutions under strategic review**, which in plain language means they are trying to sell the segment that is destroying value. Separately, on **July 23 CFO Jay Saccaro resigned** after three years, replaced on an interim basis by the long-serving controller. A CFO leaving mid-margin-repair, two days before a preliminary earnings release, is not nothing.

Business model

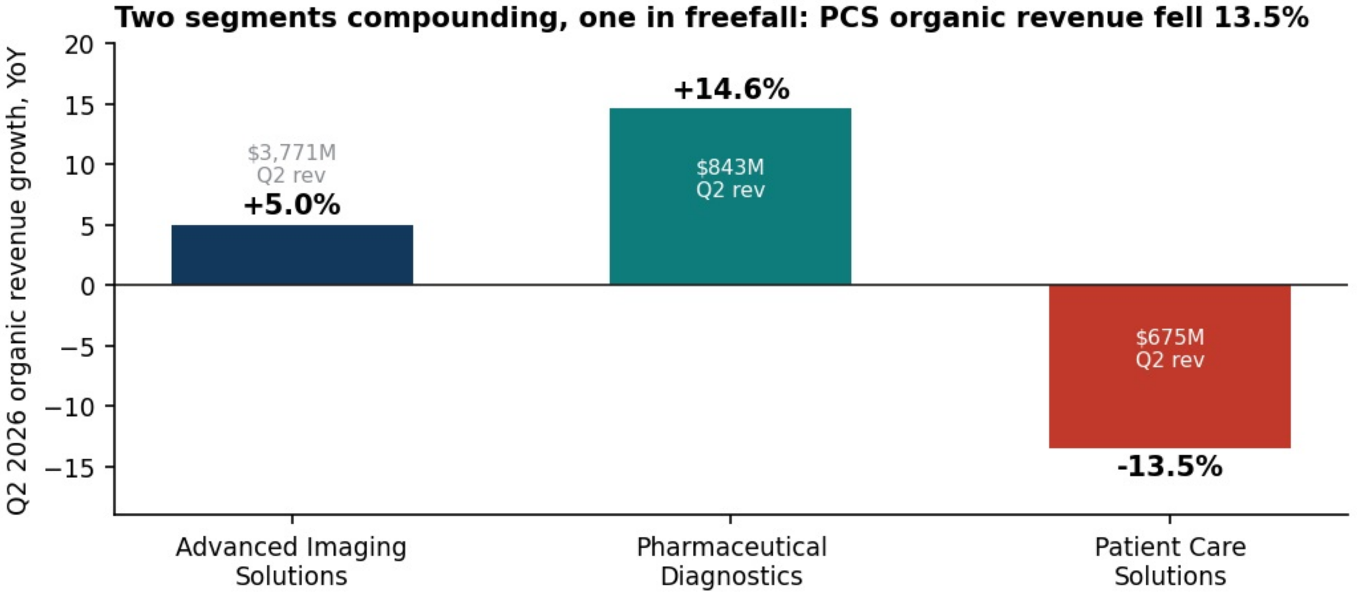
GEHC sells expensive, long-lived capital equipment — MR, CT, PET, ultrasound, X-ray — into hospitals on multi-year sales cycles, then earns high-margin revenue for a decade or more servicing it and supplying the consumables that run through it. Services were **$1.88B of Q2's $5.30B revenue, 35% of the total**, and that is the profitable half. The economics are decent but not spectacular: gross margin sits around 41%, and adjusted EBIT margin in the mid-teens, well below a Stryker or an Abbott. What the model buys you is **predictability** — an installed base that has to be serviced regardless of the hospital capex cycle, and a $23.9B backlog covering more than a year of revenue.

The critical structural weakness is the flip side of that predictability. **Because the backlog is priced 12–18 months before it is delivered, GEHC cannot pass through an input-cost shock in real time.** That is precisely what went wrong in 2026, and it is why a company with record orders posted falling margins.

Segments and revenue mix

Note a disclosure change: in Q2 2026 the company **merged the old Imaging and Advanced Visualization Solutions segments into a single "Advanced Imaging Solutions"** reportable segment and recast history. It is a defensible simplification, but it does reduce visibility into the standalone Imaging equipment line at exactly the moment margins there are under pressure. Worth writing down.

Segment	Q2'26 revenue	% of total	Organic growth	Segment EBIT margin	Comment
Advanced Imaging Solutions	$3,771M	71%	+5.0%	13.9% (+90bp)	The core franchise; now includes Intelerad software
Pharmaceutical Diagnostics	$843M	16%	+14.6%	29.6% (+30bp)	The jewel — contrast agents and radiopharma, double the company margin
Patient Care Solutions	$675M	13%	−13.5%	−3.8% (−1,150bp)	Loss-making; under strategic review for sale



Source: GE HealthCare Q2 2026 earnings release (8-K exhibit, July 29, 2026), segment table and organic-revenue reconciliation. Segments recast in Q2'26 following the Imaging/AVS combination.

The mix story is the investment case in miniature. 87% of the business grew organically at a blended ~6.7% with expanding margins. The remaining 13% fell 13.5% and swung from roughly +7.7% to −3.8% EBIT margin, a 1,150bp collapse. PCS alone accounts for most of the company's margin miss. **If PCS is sold at any reasonable price, the remaining GEHC is a faster-growing, higher-margin, simpler business** — which is exactly why management put it under review, and why the review is the single most valuable near-term catalyst in the name.

2. Moat and competitive landscape

Where the moat is real

- **A three-firm global oligopoly with enormous switching costs.** Imaging is effectively GEHC, Siemens Healthineers and Philips. A hospital that buys a GE MR suite inherits GE's service contracts, GE-trained technologists, GE workflow software and a 10–15 year asset life. Displacement is a capital project, not a procurement decision.
- **The service annuity.** $1.88B a quarter of services revenue on an installed base that must be maintained under regulatory obligation. This is the steadiest cash in the company and it does not care about the hospital capex cycle.
- **PDx is a genuinely excellent business hiding inside a mediocre one.** Contrast agents and radiopharmaceuticals grew 14.6% organically at a 29.6% EBIT margin. These are regulated, manufacturing-constrained products with short supply chains and real pricing power, and the theranostics collaborations with Mayo Clinic and University Hospital Essen point at a genuine growth runway.
- **Regulatory barriers.** Every scanner and every agent is an FDA-cleared device. The clearance backlog is a moat against new entrants that no amount of capital solves quickly.

Where the moat is thinner than the bulls admit

- **Pricing power is real but slow, and that is not the same thing.** The 2026 margin miss proves it: GEHC could not offset $250M of input inflation because its prices were locked in a backlog. A moat that cannot defend against cost shocks for 18 months is a weaker moat than the market-share numbers suggest.
- **Mid-teens margins in a high-teens-to-30s industry.** Stryker earns roughly double GEHC's margin; Abbott and Boston Scientific are well ahead too. Some of that is mix, but part of it is that imaging hardware is simply a harder business than implants or diagnostics. The moat protects share, not profitability.

- **PCS shows what happens when the moat isn't there.** Patient monitoring is commoditising against lower-cost competition, and a supplier disruption was enough to tip it to a loss. It is a live demonstration that "GE HealthCare" is not one uniform franchise.
- **China is a persistent structural risk** that management flags in its own risk factors. Domestic-champion procurement policy and anti-corruption enforcement have compressed the multinational imaging opportunity there, and it is not coming back on the old terms.

Peer comparison (September 4, 2026 close)

Company	Market cap	Trailing P/E	P/B	Off 52-wk high	Position vs GEHC
GE HealthCare (GEHC)	$31.1B	16.0×	2.9×	**−23%**	Imaging #1/2; cheapest of the group on every measure
Stryker (SYK)	$116.3B	31.9×	4.9×	−23%	The quality benchmark — double the margin, double the multiple
Abbott (ABT)	$187.4B	35.2×	3.7×	−21%	Diversified diagnostics/devices; premium rating intact
Medtronic (MDT)	$120.5B	22.9×	2.4×	−12%	The closest analogue — big, slow, cheap-ish medtech
Philips (PHG)	$25.4B	19.1×	1.9×	−22%	Direct imaging rival; still working through Respironics legacy
Boston Scientific (BSX)	$69.3B	19.0×	2.7×	—	Prices reflect a 2026 stock split; multiple not directly comparable to history

Source: Robinhood fundamentals, 9/4/26 session. Siemens Healthineers is not separately listed in the US; its parent Siemens AG (SIEGY, ~$247B, 26.3×) is shown for context only and is not a like-for-like comparison. **The whole medtech complex has de-rated 12–23% off its highs** — GEHC's fall is only partly company-specific, which matters when judging whether the de-rate is a permanent verdict or a sector cycle.

3. Growth drivers

Driver 1 — Record orders converting a record backlog (proven, compounding)

This is the strongest single fact in the name and the market is discounting it. **Q2 organic orders grew 11.1%, the highest since the spin, versus 3.4% in the year-ago quarter, with growth in every segment.** Book-to-bill was 1.15× and backlog reached a record $23.9B. Management said the equipment revenue "secured rate" entering Q3 was nearly 85%, several points better than prior periods — meaning the H2 revenue line is unusually well underwritten. Orders are the leading indicator; revenue and margin are the lagging ones. **A business with 11% order growth trading at 14× forward earnings is the entire reason this report ends where it does.**

Driver 2 — Pharmaceutical Diagnostics and theranostics (proven, compounding)

PDx grew 14.6% organically at a 29.6% EBIT margin — it is roughly 16% of revenue and, by my estimate, closer to a quarter of segment profit. Radiopharmaceuticals and precision diagnostics are the fastest-growing corner of imaging, and the Mayo Clinic and Essen theranostics partnerships put GEHC in the therapy-adjacent part of the market rather than just the diagnosis part. **If PDx compounds at low-teens while PCS is divested, the company's blended margin rises without management doing anything heroic.** This is the most underrated part of the story.

Driver 3 — Software, AI and the Intelerad platform (partly proven, partly optionality)

Intelerad adds roughly $270M of revenue, of which **~90% is recurring, at a 30%+ adjusted EBITDA margin** — genuinely accretive to mix. The company targets tripling cloud-enabled offerings by 2028. I count the recurring revenue as proven and the "AI-enabled imaging ecosystem" narrative as optionality; **I assign the latter zero in my base case.** Note the price: $2.3B for $270M of revenue is roughly 8.5× sales, which is a software multiple paid by a hardware company. See §4.

Driver 4 — Divesting PCS (event-driven, not yet in the base case)

Removing a −3.8%-margin, −13.5%-growth segment would lift group organic growth by roughly a point and group margin by well over 100bp on mix alone, before any proceeds. **I model this as upside, not base case**, because a strategic review is not a transaction and distressed assets sell at distressed prices.

4. Capital allocation

Item	Detail and assessment
M&A	**Intelerad, $2.3B cash, closed March 2026** — ~8.5× revenue for a 30%+ EBITDA-margin recurring software asset. Strategically sound, financially full. Funded with cash on hand plus new debt.
Balance sheet	Total debt $10.1B against $2.1B cash — **net debt ~$8.0B, roughly 2.4× 2026E EBITDA.** Cash fell from $4.5B to $2.1B in six months. Adequate, not comfortable; $3.5B of revolver undrawn.
Capex	$278M in H1 (1.3% of revenue) vs $238M — genuinely capital-light for an industrial. D&A of $313M in H1 runs *above* capex, so maintenance needs are being met.
R&D	$668M in H1, 6.4% of revenue — steady, and the source of the new-product cycle driving orders.
Buyback	$300M in H1 (4.7M shares); $500M authorisation remaining. **Buying back stock at 14× forward earnings near a three-year low is good capital allocation** — the opposite of Vernova repurchasing at ~80×.
Dividend	$0.035/quarter, 0.20% yield. Token, and correctly so.

The honest read: management is doing something defensible but leveraged. They spent $2.3B and took net debt to ~2.4× EBITDA to buy recurring software revenue while their core business was missing margin targets — and they are simultaneously trying to sell PCS. That is a coherent strategy (shift mix toward software and PDx, exit commodity hardware), executed at an awkward moment. **The buyback is the part I like most: they are shrinking the share count at 14× while the market is pessimistic, which is when buybacks actually create value.** The CFO's departure mid-execution is the part I like least.

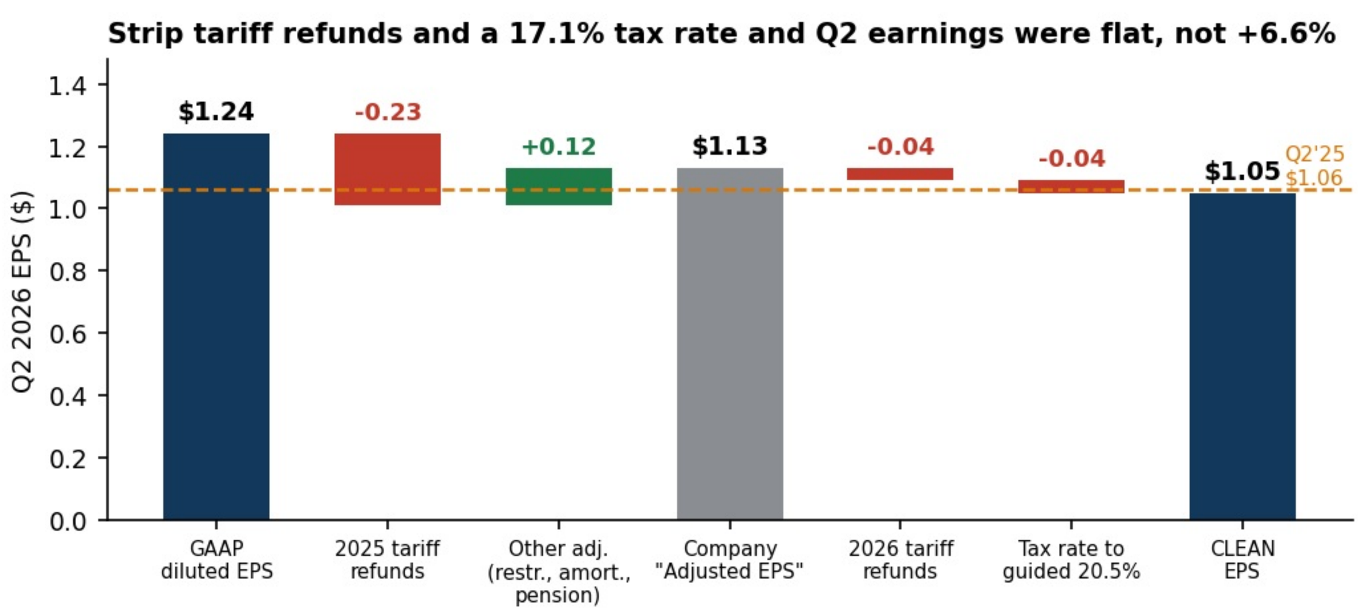
5. Financial deep dive

Five-year record

Fiscal year	2021	2022	2023	2024	2025	2026E
Revenue ($M)	17,585	18,341	19,552	19,672	20,625	~21,880
Revenue growth	—	+4.3%	+6.6%	+0.6%	+4.8%	+6.1% (3–4% organic)
GAAP net income ($M)	2,247	1,916	1,568	1,993	2,084	—
GAAP net margin	12.8%	10.5%	8.0%	10.1%	10.1%	—
Adjusted EPS	—	—	$3.87	$4.49	$4.59	$4.80–5.00
Adj. EBIT margin	—	—	~14.4%	~15.0%	15.3%	15.4–15.7%
Free cash flow ($M)	—	—	~1,700	~1,560	~1,516	~1,600

Revenue CAGR 2021–2025: 4.1%. Adjusted EPS CAGR 2023–2026E: 8.2%. Sources: Robinhood annual financials (revenue, GAAP net income) cross-checked against company releases; adjusted EPS and margin from company guidance and earnings releases. 2021–2022 are pre-spin carve-out figures and not fully comparable; adjusted EPS is not available on a consistent basis before 2023. 2026E revenue is my estimate from 3–4% organic guidance plus observed acquisition and FX contribution. **The shape to hold onto: this is a mid-single-digit revenue grower with high-single-digit EPS growth. It is not a compounder and should not be priced as one — but it is also not priced as one.**

Strip the noise — Q2's earnings growth was not what the headline said

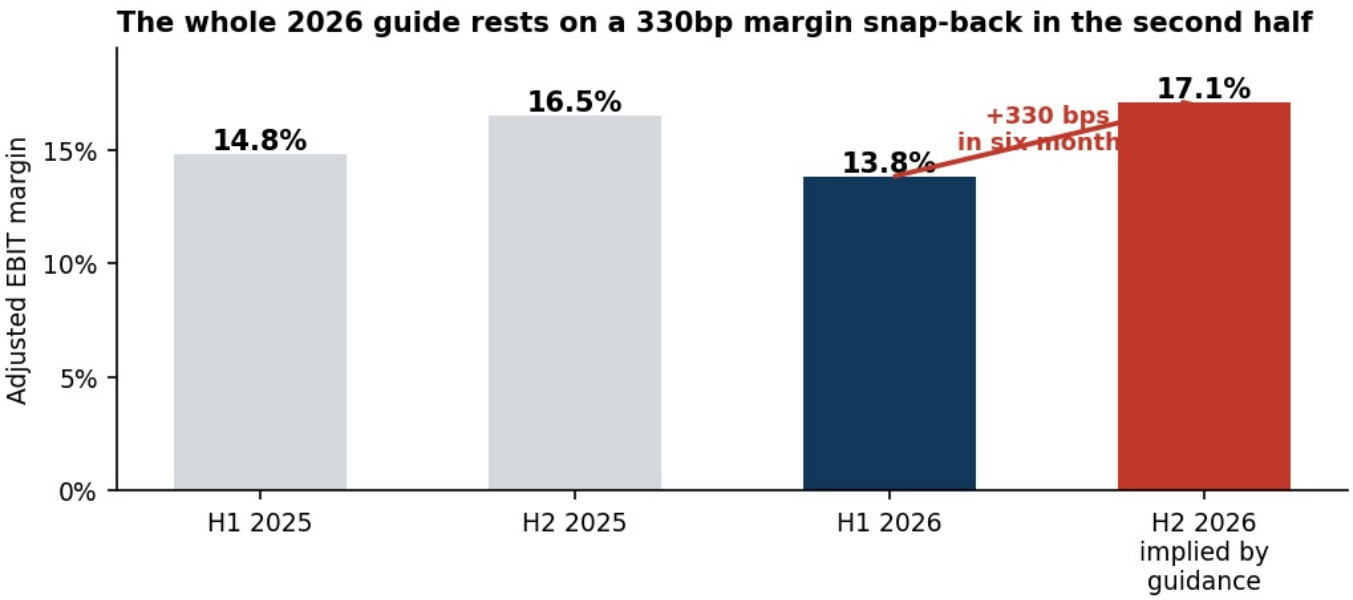


Sources: GEHC Q2 2026 earnings release, Adjusted EPS and Adjusted ETR reconciliation tables. The $0.23 and $0.04 tariff figures and the 17.1% adjusted ETR are company-disclosed. **The final two steps (removing the 2026 tariff benefit and re-taxing at the guided 20.5% rate) are my adjustment, not the company's.**

The adjustment nobody made: Q2 "adjusted" EPS was still flattered twice.

Headline: GAAP diluted EPS $1.24, up 16.5%; adjusted EPS $1.13, up 6.6%. The company correctly excluded $106M of refunds on *2025* tariffs ($0.23/share) from its adjusted figure. But it **left two things in**. First, $23M of refunds on *2026* tariffs — $0.04/share — which management itself says will not repeat ("we do not expect a material benefit from additional refunds"). Second, the quarter ran at a **17.1% adjusted effective tax rate against full-year guidance of 20.0–21.0%.** Normalising both: adjusted pre-tax income of ~$621M less $23M, taxed at 20.5%, is ~$476M, or **clean EPS of roughly $1.05 — versus $1.06 reported a year ago, and $1.04 for that quarter restated at the same tax rate.** On a like-for-like basis Q2 earnings grew about 1%, not 6.6%. Both figures are small in dollars; what matters is the direction of travel they conceal. Adjusted EBIT margin tells the same story: 14.2% reported, but **13.7% excluding the $23M tariff credit — down 87bp year over year, not 40bp.**

The bigger problem: the second-half hockey stick



H1 2026 adjusted EBIT margin of 13.8% is calculated from the company's reported H1 adjusted EBIT of $1,440M on $10,425M of revenue. **The H2 2026 implied figure is my calculation** — full-year guidance midpoint (15.55%) applied to my ~$21.9B revenue estimate, less reported H1. H2 2025 is derived the same way from FY2025 actuals. Result is stable at 16.8–17.4% across the full guidance range.

This is the number that should govern your position sizing. H1 adjusted EBIT margin was **13.8%, down 90bp year over year.** Full-year guidance of 15.4–15.7% therefore requires H2 to come in at roughly **16.8–17.4% — a step-up of about 330bp in six months**, and a level the company has never posted. I stress-tested this across the whole guidance range in §7's sensitivity; the required H2 margin barely moves, because it is arithmetic, not assumption.

Management's bridge is coherent — $0.17 of cost actions, $0.06 of pricing as newly-priced orders enter revenue, plus the normal H2 seasonal weighting (H2 2025 was around 16.5%, so a second-half step-up is genuinely the pattern here). But **this year they need a bigger one than they have delivered before, in the same six months they are absorbing $250M of inflation, integrating Intelerad, running a divestiture process and operating with an interim CFO.** The free-cash-flow picture is the same story sharpened: H1 FCF was $180M including a $107M cash tariff refund — **$73M ex-refund — against a $1.6B full-year guide, meaning 89% of the year's cash must arrive in H2.**

Key metrics — current

Metric	Value	Comment
Price / market cap	$68.80 / $31.1B	52-week range $58.75–$89.77; 3% above the April low
Trailing P/E (GAAP)	16.0×	Modestly flattered by tariff refunds; clean is nearer 16.5×
Forward P/E (2026E adj., guide mid)	14.0×	14.2× on my clean $4.86 ex-tariff figure
EV / 2026E adj. EBIT	~11.7×	EV ~$39.3B including $8.0B net debt
EV / 2026E EBITDA	~9.8×	The cheapest large-cap medtech multiple in the peer table
FCF yield (on $1.6B guide)	5.2%	**Attractive** — but see the H2 concentration above
Net debt / 2026E EBITDA	~2.4×	Post-Intelerad. Manageable; constrains further large M&A
Price / book	2.9×	Lowest in the peer group ex-Philips
Dividend yield	0.20%	Irrelevant to your mandate; not why you'd own it

Owner earnings and cash-flow quality

The reassuring part of this business: **capex ($278M H1) runs below D&A ($313M H1)**, so reported earnings are not being flattered by under-investment in maintenance — the depreciation assumption that dominates the analysis of a hyperscaler or of Vernova simply is not the swing factor here. Stock comp is $80M in H1, roughly 8% of adjusted net income, and I have not added it back. Owner earnings approximate reported adjusted net income reasonably well.

The caution runs the other way, through working capital. **Inventories rose $310M in H1** as the company built stock ahead of the H2 delivery ramp — that is the mechanical reason H1 cash flow was near zero, and it is the reason H2 cash flow should be large. It also means the FY FCF guide depends on those inventories converting on schedule. **If H2 deliveries slip, the cash miss and the margin miss arrive together.** They are the same event, not two independent risks.

6. Key risks and red flags

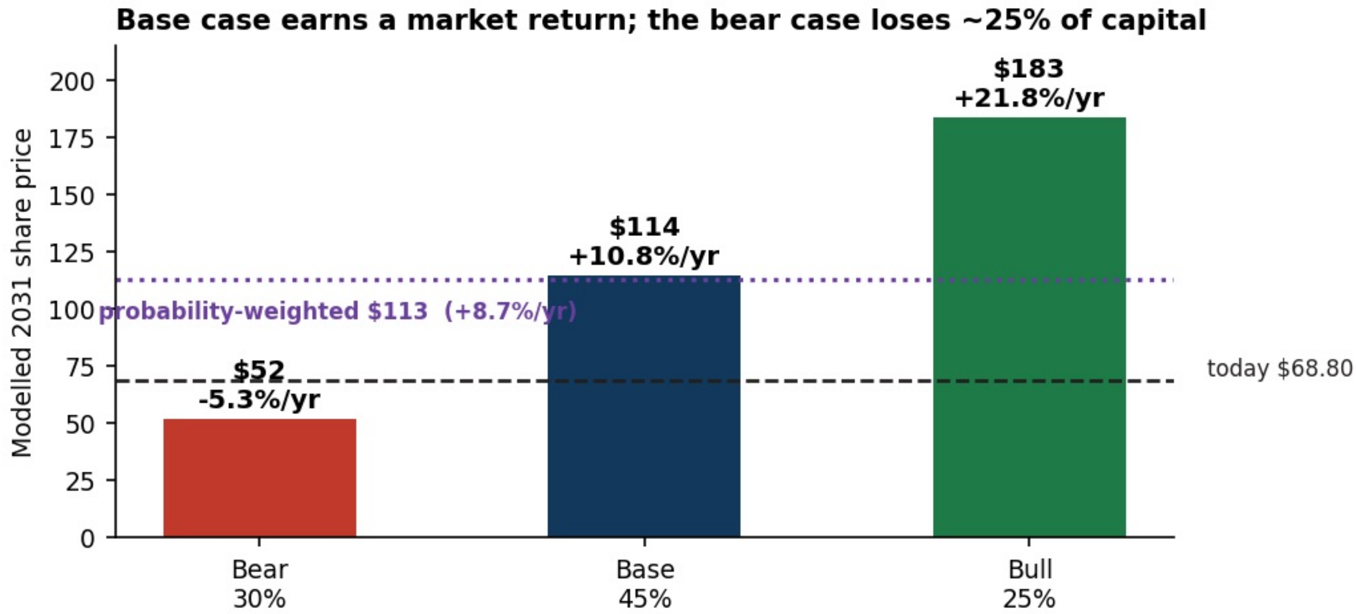
Risk	Severity	Assessment & what to watch
H2 margin ramp fails	**HIGH**	The central risk. 330bp of margin expansion in six months, never previously achieved. If Q3 (Oct 28) prints below ~16% adjusted EBIT margin, the full-year guide is gone and so is the 2027 starting point. This is the number to watch.
Input-cost inflation persists into 2027	**HIGH**	The $250M ($100M memory chips, $100M oil/freight, $50M raw materials incl. tungsten) is a 2026 number. Memory pricing is being set by AI datacenter demand, which shows no sign of easing. If it repeats in 2027, the margin story slips a full year.
PCS review disappoints	MED-HIGH	A loss-making, shrinking asset sold into a buyer's market may fetch little. Watch for a write-down alongside any deal. No sale at all is arguably the worse outcome.
CFO vacancy	MEDIUM	Interim CFO during a guidance year that requires a sharp H2 execution. Watch who they hire and whether guidance survives the handover.
Hospital capex / reimbursement	MEDIUM	Backlog insulates near-term revenue, but US reimbursement policy and government shutdowns are named risk factors. A capex pause would show in orders, not revenue, first.
China	MEDIUM	Structural share pressure from domestic champions. Management no longer breaks China out separately in the release — worth watching.
Leverage post-Intelerad	LOW-MED	~2.4× net debt/EBITDA with $2.1B cash. Serviceable, but it removes the balance-sheet optionality that existed a year ago.
Demand	**LOW**	11.1% organic order growth, 1.15× book-to-bill, record backlog. Whatever is wrong here, it is not the top line.

Red flag worth its own paragraph: your imaging company is paying the AI build-out's memory bill.

The single largest component of GEHC's 2026 earnings miss is **$100M of memory-chip inflation**, with another $100M in oil and freight. Modern scanners are computers with magnets attached; they consume DRAM and NAND. The price of that memory is currently being set by hyperscaler AI demand — the exact demand that is generating the earnings growth in AVGO, NVDA, TSM, SOXQ and GEV in this portfolio. **This is a rare instance of a holding that is structurally short the AI-capex cycle rather than long it.** Read one way that is a risk: as long as AI capex runs hot, GEHC's input costs stay elevated and the margin repair keeps slipping. Read the other way it is the most genuinely diversifying property this name has — **it is the only position in the book that would likely see its cost structure improve if the AI-capex cycle cooled**, which is the scenario that simultaneously damages roughly a fifth of your equity. I would not overstate the hedge; the correlation is loose and one-directional, and GEHC would also fall in a general market decline. But the mechanism is real, disclosed by management, and it is the opposite of what every other name added to this portfolio in 2026 does.

7. Valuation and five-year outlook

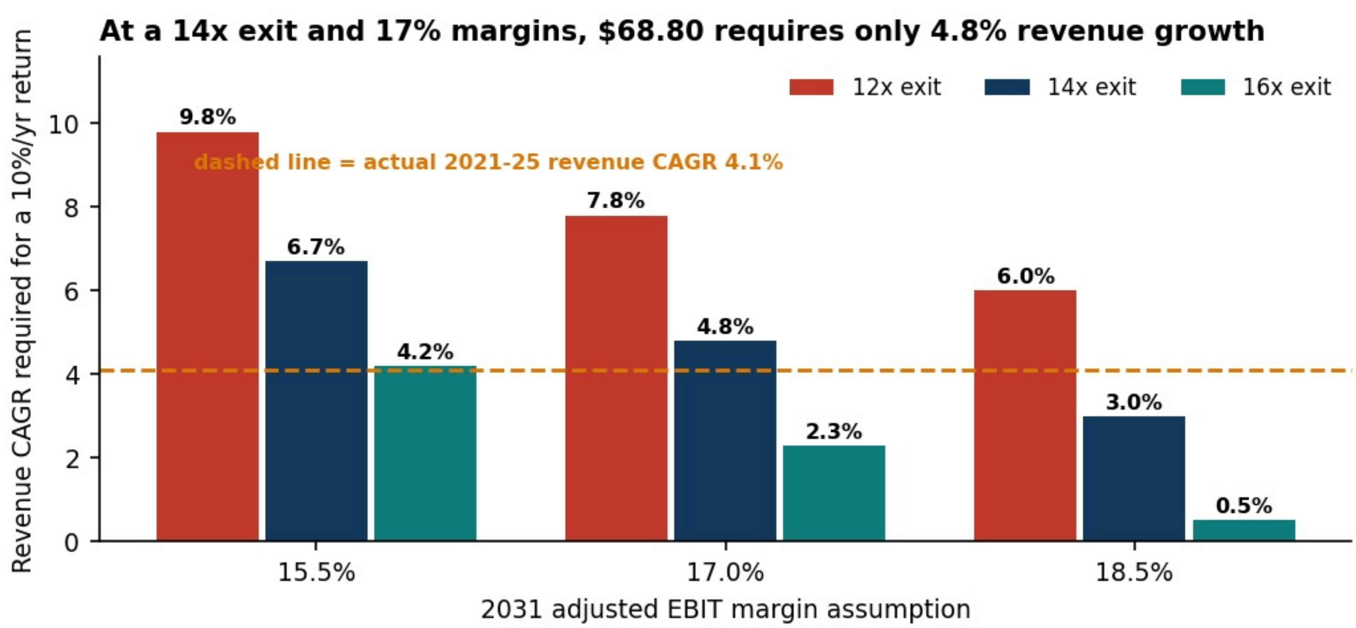
Five-year scenarios (hold to end-2031)



Scenario	2031 revenue	Rev CAGR	Adj. EBIT margin	EPS	Exit P/E	Price	5-yr IRR
Bear (30%) — inflation persists, margin repair stalls near 14%, PCS sold cheaply, multiple stays at a discount	$23.0B	+1.0%	14.0%	$4.93	10.5×	$52	−5.3%/yr
Base (45%) — margin reaches ~17% by 2029, PDx compounds, PCS exited, modest re-rating toward the medtech discount rather than the low	$27.2B	+4.5%	17.0%	$7.89	14.5×	$114	+10.8%/yr
Bull (25%) — PCS divested well, software/PDx mix lifts margin to ~19.5%, theranostics scales, re-rates toward peers	$29.5B	+6.2%	19.5%	$10.48	17.5×	$183	+21.8%/yr

My assumptions, not consensus. All cases assume a 21% tax rate, ~$380M of interest, and share count declining modestly via buyback (405–455M by 2031). IRR includes the negligible dividend. **Probability-weighted 2031 value ~$113, a weighted IRR of roughly +8.7%/yr.** Note that the base and bull cases both assume some multiple recovery from today's 14× — if you assume no re-rating at all, the base case falls to roughly +6%/yr, which is still positive and is the honest floor on the constructive view.

What is priced in at $68.80?



My calculation. Solves for the revenue CAGR from 2026E ($21.9B) required to reach a 2031 price of ~$111 (a 10%/yr return from $68.80), at each combination of exit multiple and terminal adjusted EBIT margin, holding tax at 21% and share count at 425M. The 4.1% reference line is GEHC's own actual 2021–2025 revenue CAGR.

Run it backwards and the case becomes clear. To earn a market 10%/yr, GEHC needs to reach about **$111 by 2031**. At a 14× exit multiple — a *discount* to today's already-depressed medtech group and roughly where the stock trades now — and a

17% terminal EBIT margin, that requires revenue to compound at **4.8%/yr**. The company grew 4.1%/yr over 2021–2025 through a pandemic distortion and a China reset, and is guiding to 3–4% organic plus M&A this year.

In other words, the market is pricing GEHC to do roughly what it has already been doing, with no multiple expansion and a terminal margin barely above the 2026 guide. That is a materially different proposition from the reports on your desk from earlier this year. GEV at $1,057 required $90B of revenue at 24% margins — the bull case as the base — to earn 10%. NVDA at $227 required continued flawless execution against a rising bar. **GEHC at $68.80 requires the status quo.** That asymmetry is the finding.

Sensitivity — the 2028 margin is the crux

2028 adjusted EBIT margin	2028 adj. EPS	P/E at $68.80	Read
15.0% (repair stalls at today's guide)	~$5.59	12.3×	Even the failure case is not expensive
16.0%	~$6.01	11.5×	Modest progress
17.0% (my base case)	~$6.43	10.7×	PCS exited, mix shift does the work
18.0%	~$6.85	10.0×	Requires genuine operating leverage
19.0%	~$7.27	9.5×	The bull case

Illustrative only. Holds 2028 revenue at $23.4B (4% growth from 2026E) and flexes only the margin; 21% tax, $390M interest, 440M shares. **The shape is the point: across the entire plausible margin range, GEHC trades between 9.5× and 12.3× its 2028 earnings.** This is the mirror image of the Vernova sensitivity, where even hitting the target left the stock at 35×. Here, even missing badly leaves it cheap. That is what a margin of safety looks like.

Fit with your portfolio

Current position: 30 shares, $2,064 — **0.12% of a $1,700,553 book**, at a cost basis of $2,176 (−5.2%). This is below the size at which it can affect anything. It is a placeholder, not a position, and the decision in front of you is whether to make it real or clear it out.

Yield is irrelevant, as always. The 0.20% dividend does nothing for you; your $80,000 pension has already solved income. This is a total-return holding judged on the IRR table above and nothing else.

Your 10-year horizon is the specific edge here. Everything wrong with GEHC right now is a 2026–2027 problem: an inflation pass-through lag, a segment divestiture, a CFO search, an H2 execution risk. Those are exactly the problems that force out a fund manager judged on quarters, and they are exactly the problems a pension-backed investor with a decade can sit through. **A long-cycle backlog business with a repricing lag is more investable for you than for almost anyone else in the market.** That argument was true for GEV in July too — but there you were being asked to pay 80× for the privilege. Here you are paying 14×.

Correlation: this is the first name in months that genuinely diversifies rather than deepens. Your AI-capex cluster now runs through NVDA, GRID, GEV, ASML, VIS, AVGO, MSFT, GOOG, AMZN, TSM, QCOM and SOXQ — comfortably north of 15% of the book on a look-through basis. GEHC is not in that cluster, and as §6 sets out, its cost structure is on the *wrong* side of the AI trade. It also adds healthcare exposure where you currently hold only UNH (1.17%) and BMY (1.26%), both flagged as uncovered satellites. **On portfolio-construction grounds alone this is the most additive name you have looked at this year.**

Sequencing is where I have to be firm. VXUS is ~$124,900 below a 10% target and AVUV ~$55,300 below 5% — **a combined gap of roughly $180,200**, which remains the standing first claim on all new cash. Nothing in this report displaces that. GEHC competes for the residual, and it competes against the DELL starter recommendation still on file — which, unlike this one, would deepen the AI cluster rather than diversify it. **Between the two, GEHC is the better portfolio fit and the better price.**

The three things to actually watch

1. **The Q3 print on October 28 — specifically the adjusted EBIT margin line.** This is the whole thesis in one number. H2 needs ~17%. **Below ~16% in Q3 and the full-year guide is broken**, the 2027 base is lower, and I would want to revisit the base case before adding further. Above 16.5% and the margin-repair story is back on track a year early.
2. **Any concrete outcome from the PCS strategic review.** A sale — even at a mediocre price — mechanically improves group growth and margin and removes the single biggest drag. Watch for the announcement and for any accompanying impairment. This is the most likely source of a genuine re-rating.
3. **Whether memory and freight inflation persists into 2027 guidance** (first framed at Q4, roughly late January 2027). Management sized 2026 at $250M. If the 2027 guide carries a similar number, the margin thesis pushes out a full year and the base case IRR drops toward the mid-single digits.

Bottom line

GEHC is a good-not-great business at a genuinely cheap price, which is a more comfortable place to underwrite than the great-business-at-a-demanding-price setups that have dominated this coverage list all year. The franchise is durable: a three-firm oligopoly, an installed-base service annuity, an excellent PDx segment growing 14.6% at 29.6% margins, record orders and a record backlog. **The market is not disputing any of that. It has de-rated the stock 23% on a margin problem caused by an input-cost shock that a long-cycle business cannot reprice quickly — and it has extrapolated that shock indefinitely.**

I will not pretend the near term is clean. The H2 margin ramp is a real stretch, Q2's earnings growth disappears when you strip the tariff refunds and the low tax rate, 89% of the year's free cash flow has to show up in six months, and there is no permanent CFO. **Those are the reasons the stock is at $68.80, and they are legitimate.** The question is whether they are worth a 14× multiple on a franchise like this one, and my answer is no.

My call: ADD — build toward a 1.0–1.5% position in stages, not in one order. Concretely, that means roughly 250–370 shares versus the 30 you hold. **I would add a first meaningful tranche now — call it to 0.5%, around 124 shares — and hold the balance for the October 28 print**, which is a genuine binary on the margin line and will either confirm the thesis cheaply or give you a lower price. I would not size beyond 1.5%: mid-single-digit revenue growth and mid-teens margins do not earn a core-position weighting in a portfolio whose objective is growth, and the bear case here still loses a quarter of the capital. **And all of this queues behind the $180,200 VXUS/AVUV gap.** If new cash is limited, close that first; GEHC is the best use of the next dollar after it, not before it.

Sources & disclosures. Primary: GE HealthCare Q2 2026 earnings release and financial statements (July 29, 2026, investor.gehealthcare.com and 8-K exhibit); Q1 2026 earnings release (8-K, sec.gov, April 2026); CFO transition and preliminary Q2 8-K (July 23, 2026); Intelerad acquisition completion release (March 18, 2026) and announcement release (November 20, 2025). Market data: Robinhood live fundamentals and quotes, September 4, 2026 session (GEHC $68.80; SYK, ABT, MDT, PHG, BSX, DXCM same-session). Annual revenue and GAAP net income: Robinhood annual financials, cross-checked to company releases. Portfolio data: `retirementportfolio38.xlsx`, Export sheet, file modified September 4, 2026, total market value $1,700,553. Secondary/triangulation only: Q2 2026 earnings-call transcript coverage (Yahoo Finance, Globe and Mail); Motley Fool and Seeking Alpha coverage of the Q1 guidance cut for the $250M inflation breakdown and prior guidance range; Tickeron and GuruFocus for post-Q1 analyst-action detail.

Known uncertainties, stated plainly: (1) The clean Q2 EPS of ~$1.05 is *my* adjustment — removing the $23M 2026 tariff benefit and re-taxing at the 20.5% guided rate. Both inputs are company-disclosed; the combination is mine, and reasonable people would stop after the first step. (2) The implied H2 adjusted EBIT margin of ~17% is my calculation from guidance and reported H1, not a company disclosure; it depends on my ~$21.9B full-year revenue estimate, though I tested it across the guidance range and it moves less than 60bp. (3) 2023–2025 adjusted EBIT margins are approximate, reconstructed from guidance-growth statements rather than pulled line-by-line from each release. (4) 2021–2022 figures are pre-spin carve-out and not directly comparable. (5) FY2025 free cash flow (~$1,516M) is derived from the H1/H2 relationship rather than a directly pulled annual line — treat it as approximate. (6) My estimate that PDx is "closer to a quarter of segment profit" is a calculation from one quarter's segment EBIT, not a company disclosure. (7) I could not confirm the current status of the PCS strategic review, the permanent CFO search, or any 2027 guidance framing — all three postdate my sources and all three are material. (8) Every scenario input — growth, terminal margin, exit multiple, share count, tax rate — is my assumption and will be wrong in ways I cannot anticipate. (9) All prices are as of the September 4, 2026 session and will be stale immediately; **GEHC reports Q3 on October 28, 2026, which will move most of this.**

This is educational research and analysis, not investment advice. I am not a licensed financial or tax advisor, and nothing here is a recommendation to buy or sell any security. The scenario models reflect my assumptions, which will be wrong in ways I cannot anticipate. Position sizing, tax consequences, and how this fits alongside your existing concentration should be decided by you — ideally with a fiduciary who can see your whole balance sheet.